# Gala Precision Engineering Ltd: Concall Tracker

Ticker GALAPREC (NSE / BSE 544244) | Quarter folder Q1-2027 | Builds on the Q4-2026 report | Newest call read: Q1 FY27 (7 Aug 2026)

Two questions: is there a durable **earning trigger**, and has **management been consistent** about it? This edition picks up from the Q4-2026 report and deep-reads only the new Q1 FY27 call.

## 1. Snapshot

**What it does:** Gala makes precision metal springs (disc springs and coil springs) and heavy-duty bolts and studs that hold big machines together: wind turbines, railway coaches, construction gear and factory equipment. It sells 800+ custom parts to about 175 customers in 25 countries, and wins business by undercutting European suppliers on price while matching their quality.

| Measure | Figure | Plain-English read |
|---|---|---|
| Market value | ~Rs 1,495 cr | What the whole company is worth on the market (Screener, share ~Rs 1,165). A small-cap. |
| Revenue, Q1 FY27 (Apr–Jun 2026) | ~Rs 75 cr (+20%) | Sales for the quarter, up a fifth on last year. Management says a held-back Rs 3 cr shipment (customer late on payment) would have made it +25%. |
| Operating profit (EBITDA), Q1 FY27 | ~Rs 12 cr (+28%), margin 16.5% | Profit from running the business grew faster than sales, but the margin is still just under the 17–19% they promise. |
| Net profit, Q1 FY27 | ~Rs 8 cr (+29%) | Bottom-line profit for the quarter, up by more than a quarter. |
| Order book (1 Jul 2026) | ~Rs 110 cr | Firm orders in hand, up from Rs 80–85 cr a year ago (about 40% more). That's more than a full quarter of sales already booked. |
| Valuation (P/E) | ~37x | You pay about Rs 37 for every Rs 1 of yearly profit. Not cheap; the price expects growth to keep coming. |
| Return on capital (ROCE) | ~15.5% | Decent, but lower than before the IPO because the fresh cash isn't fully put to work yet. |

## 2. Concall coverage

| Call(s) | Date | Transcript read? |
|---|---|---|
| Q3 FY25 → Q3 FY26 (5 calls) | Feb 2025 – Feb 2026 | Carried forward from the Q4-2026 report |
| Q4 FY26 (prior boundary call) | 15 May 2026 | Carried forward from the Q4-2026 report |
| **Q1 FY27** | **7 Aug 2026** | **Newly deep-read in full ★** |

Only the Q1 FY27 call was read in full this time. The company listed in Sep 2024, so the whole record is seven calls, under two years.

**★ Latest concall highlights: Q1 FY27 (call held 7 Aug 2026)**

- **Order book jumped.** Orders booked in the quarter were about 40% higher than a year ago, and firm orders stood at ~Rs 110 cr on 1 July. *Read: the next few quarters look well covered.*
- **Disc springs carried the quarter** (+31%, 54% of sales). Fasteners were 29% of sales, down from about a third for FY26. *Read: the old core did the heavy lifting this time while the bolt business keeps ramping.*
- **Chennai bolt plant is filling up.** Phase 1 ran at 70–80% in Q1, seen at 80–90% in Q2. A hot-dip galvanising line went live there, which some customers insisted on before they'd buy.
- **New doors:** first bulk order from a big Indian electrolyser (green-hydrogen equipment) maker, and a bolt developed for construction equipment. Offshore-wind bolts are still tiny but they kept the goal of about a tenth of fastener sales by year-end.

- **Guidance held:** 20–25% sales growth and a 17–19% margin for FY27 and FY28. They also hired KPMG to work on cash stuck in stock and receivables (about 180 days of it). Tone: confident and plain.

**Business mix & capacity**
**Domestic vs export:** not updated on this call. The last split given (FY26) was roughly 60–65% India and 35–40% exports, mostly Europe and the US. Management said it won share from European rivals this quarter.
**Capacity:** Chennai Phase 1 at 70–80% utilisation; Phase 2 space done in Q2 with machines arriving in Q3/Q4, aiming for ~70% use of the combined plant by Q4. Wada keeps adding machines to clear bottlenecks. A 10-acre plot next to Wada is under an MoU for the third plant. *Read: there's room for this year's growth; the bigger jump needs the new plant, which is now mostly a next-year spend.*

★ **Since our last report**: builds on the Q4-2026 report (boundary call 15 May 2026). Prior verdicts: trigger **YES**, consistency **YES** (short history).

| Prior read | What we said then | What the new call shows | Movement |
|---|---|---|---|
| Trigger: YES | Fasteners plus Chennai ramp plus new markets, with Wada near full | Order book up ~40%; Chennai filling; electrolyser order won | Confirmed |
| Consistency: YES | Did what it said; margin the one soft spot | Growth guide held and met; margin still below band; two timelines slid | Slipping |
| Margin back to 17–19% | FY26 16.5% was blamed on a one-off currency loss | Q1 again 16.5%. They say Chennai fill-up and a seasonally light Q1 explain it | Slipping |
| Chennai Phase 2 by Jun/Jul 2026 | On track | Building work finishes in Q2; new capacity partly in Q3 and Q4 | Slipping |
| Third plant, ~Rs 50 cr spend in FY27 | Shortlisting land plots | MoU signed, still in legal checks; Rs 40–45 cr spend mostly next year | Slipping |
| Offshore wind ~10% of fasteners | Expected in 2–3 years | Now aimed at by end FY27, but very small in Q1 | On-track |

**Verdict change this quarter:** trigger **unchanged**. Consistency **downgraded to MAYBE**: growth is on plan, but the margin keeps missing and the two capacity timelines got pushed back.

## 3. Earning-trigger thesis

**Still a real, working trigger.** Gala is a niche, quality-first spring and bolt maker that keeps taking business from European suppliers and adding new customers and products. Once a customer approves it, which takes one to two years, its share there tends to climb, and they say they've never lost one on quality or delivery. A ~40% jump in orders and a fast-filling Chennai plant back this up. The catch is margin: growth keeps showing up, but the margin hasn't hit the promised band yet.

| Trigger | What management said | Evidence so far | Horizon | Strength | Change since last report |
|---|---|---|---|---|---|
| Chennai bolt plant ramp | Phase 1 to 80–90% in Q2; Phase 2 machines Q3/Q4 | Phase 1 at 70–80%; ~Rs 4–5 cr a month; galvanising line live | FY27–FY28 | **Strong** | unchanged: filling well, Phase 2 a bit later |
| Share gains vs European suppliers | 10–20% cheaper for customers at the same quality | Order book ~Rs 110 cr vs Rs 80–85 cr a year ago | Now | **Strong** | ↑ improving: orders up sharply |
| Wind and offshore-wind bolts | Offshore ~10% of fasteners by end FY27 | Wind fasteners ~a quarter of sales; offshore still tiny | 1–2 yrs | **Moderate** | unchanged |
| New sectors (electrolysers, construction bolts) | Push into new clean-energy and industrial uses | First bulk electrolyser order; construction bolt developed | 1–3 yrs | **Moderate** | ↑ new, early |

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|---|---|---|---|---|---|
| Third plant | 10-acre site next to Wada, Rs 40–45 cr | MoU signed; legal checks on; spend mostly next year | FY28+ | **Moderate** | ↓ pushed out |

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Feb 2025 | Chennai plant commissioned by Q1 FY26 | Commercial output Jul 2025, on schedule | Delivered |
| FY25–FY26 | 15–20%, later 20–25% sales growth | FY25 +17%, FY26 +32% | Delivered (beat) |
| Every call | Margin in the 17–19% band | FY25 17.2%, FY26 16.5%, Q1 FY27 16.5% | Partly |
| May 2026 | Chennai Phase 2 by Jun/Jul 2026 | Space done in Q2; capacity partly in Q3/Q4 | Partly (late) |
| May 2026 | ~Rs 50 cr third-plant spend in FY27 | MoU only; most spending moved to next year | Missed timing |
| **Q1 FY27 (new)** | 20–25% growth for FY27 | +20% in Q1 (they say +25% without one held order); orders up ~40% | On-track |

**Narrative drift:** the story hasn't changed. It's still springs first, then bolts, wind and new sectors, funded by Chennai and a third plant. What's shifted is the timing. The margin "one-off" from last year showed up again this quarter with a new explanation, and both capacity steps slid by a quarter or more. None of it is alarming on its own, but it's a pattern worth tracking. Credit where due: they answered every question straight, including the working-capital one.

## 5. Bottom line: two verdicts

**Durable earning trigger?** → **YES** vs last quarter: unchanged
The order jump is the new evidence. Firm orders are up about 40% on last year, Chennai is filling faster than its own targets, and the company is winning business from European rivals and new sectors like electrolysers. Growth is real and showing in the numbers. The thing to watch is whether faster growth ever lifts the margin into the band they keep promising.

**Management consistent?** → **MAYBE** vs last quarter: downgraded (from YES)
The downgrade comes from the new call. Sales guidance is being met, which counts for a lot. But the margin has missed the promised band for a second straight period, Chennai Phase 2 slipped from mid-2026 to the second half, and most of the third-plant spend moved out of FY27. Each slip has a reasonable explanation, and the history is still under two years long, so this is a nudge down, not a red flag.

Sources: Gala Precision Q1 FY27 earnings-call transcript (7 Aug 2026, via Screener.in); backstory from the Q4-2026 Concall Tracker report (six calls, Feb 2025 → May 2026); Screener snapshot for market value, P/E and quarterly figures. Not investment advice. Do your own due diligence.